**TENTATIVE RULINGS**
**Judge Lindsey E. Martínez, Dept. C24**

"Civility is not about etiquette. This is not a matter of bad manners. Incivility slows things down, it costs people money – money they were counting on their lawyers to help them save. And it contravenes the Legislature's directive that 'all parties shall cooperate in bringing the action to trial[.]' (Code Civ. Proc., § 583.130.)" (*Masimo Corp. v. The Vanderpool Law Firm, Inc.* (2024) 101 Cal. App. 5th 902, 911; *see generally* OCBA Civility Guidelines.)

- The court encourages remote appearances to save time and reduce costs.
- All hearings are open to the public.
- You must provide your own court reporter and interpreter, if required.
- Call the other side and ask if they will submit to the tentative ruling. If everyone submits, call the clerk. The tentative ruling will become the order. If anyone does not submit, there is no need to call the clerk.
- The court will hold a hearing. The court may rule differently at the hearing. (*See Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

**<u>Hearing Date: August 3, 2026 at 1:30 pm</u>**
Rulings Posted: 7/31/26 at 3:45 pm

| # | Case Name | Tentative |
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| 301 | *Anderson vs. TMT Industries, Inc* | Before the Court at present is what remains of the "Motions (1) To Compel Discovery, (2) To Strike Complaint Answer, and (3) For Monetary Sanctions," filed on 4/29/26 by Plaintiff James G. Anderson (Plaintiff).<br><br>Those "Motions" together sought orders compelling responses to Requests for Production served by Plaintiff on Defendant TMT Industries, Inc. (TMT), along with monetary sanctions and evidentiary/terminating sanctions related thereto.<br><br>The motions to compel discovery and for monetary sanctions were addressed in Dept. CM02. On |

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| | | 5/20/26, the discovery issues were deemed resolved, with documents having been provided, and a stipulated monetary sanction was imposed. (ROA 103.) In light of that ruling, the request for evidentiary/terminating sanctions is **MOOT**.<br><br>The OSC re: status of unrepresented entity remains on calendar.<br><br>Plaintiff shall give notice. |
| 302 | *Edward B. Riahi, trustee of the EBR Trust, dated May 29, 2015 vs. City of Laguna Beach* | Before the Court is a demurrer by the City of Laguna Beach (City) to the Verified First Amended Petition for Writ of Mandate (FAP) filed by Edward B. Riahi, as trustee of the EBR Trust, dated 5/29/15 (Petitioner). The demurrer is SUSTAINED, as set forth herein.<br><br>Petitioner is granted 14 days leave to amend.<br><br>City's unopposed request for judicial notice is GRANTED. (Evid. Code §452(b)&(d).)<br><br>Petitioner alleges that "The City Council approved the RPI Project on April 22, 2025." (FAP ¶37) "The RPI Project was expressly conditioned on the subsequent approval of an access easement across the City Parcel." (FAP ¶40) The City then approved the access easement at the same hearing. (FAP ¶44)<br><br>The City's chief contention is that the causes of action stated are barred by Government Code section 65009(c). (Unless otherwise specified, all statutory references are to the Government Code.) Section 65009 "is intended 'to provide certainty for property owners and local governments regarding decisions made pursuant to this division' (§ 65009, subd. (a)(3)) and thus to alleviate the 'chilling effect on the confidence with which property owners and local governments can proceed with projects' (*id.*, |

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| | | subd. (a)(2)) created by potential legal challenges to local planning and zoning decisions." (*Travis v. County of Santa Cruz* (2004) 33 Cal.4th 757, 765.)<br><br>To this end, section 65009 establishes a short statute of limitations, 90 days, applicable to actions challenging several types of local planning and zoning decisions. Here, the focus is on Section 65009(c)(1)(E) which states: "Except as provided in subdivision (d), no action or proceeding shall be maintained in any of the following cases by any person unless the action or proceeding is commenced and service is made on the legislative body within 90 days after the legislative body's decision: …(E) To attack, review, set aside, void, or annul any decision on the matters listed in Sections 65901 and 65903, or to determine the reasonableness, legality, or validity of any condition attached to a variance, conditional use permit, or any other permit."<br><br>The parties do not dispute the petition was served on the City more than 90 days after the 4/22/25 decision to approve the RPI Project and grant the easement.<br><br>The dispositive issue is whether section 65009(c)(1)(E) applies here based on the allegations in the FAP. Resolution of this issue applies to all five causes of action because each cause of action seeks an order to vacate and set aside the decision to grant the easement. (FAP ¶¶90, 108, 116, 126, 130)<br><br>Petitioner does not dispute that any challenge to the validity of the decision to issue the permit for the RPI Project was required to be filed within 90 days pursuant to section 65009(c)(1)(E). Petitioner affirmatively states in the FAP that the approval of the RPI Project was "expressly conditioned" on approval of the easement. Petitioner further |

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| | | alleges that the Morningside Property did not meet the requirements of Laguna Beach Municipal Code §25.08.004 as a "building site" because of the lack of access without an easement, thus explaining how the granting of project approval and the easement were intertwined components of the same decision. (FAP ¶26, 28)<br><br>Based on the allegations in the petition, it is apparent that Petitioner seeks to challenge the entire decision to allow construction on the Morningside property. While Petitioner claims he is not challenging discretionary development approvals but is instead challenging "illegal" conduct, the gravamen of the action is to challenge the City's decision to approve the RPI project, which included granting the easement. (See, *AIDS Healthcare Foundation v. City of Los Angeles* (2022) 86 Cal.App.5th 322, 337-338; see also, *Weiss v. City of Del Mar* (2019) 39 Cal. App. 5th 609, 622–624.)<br><br>Accordingly, the demurrer is SUSTAINED, with 14 days leave to amend.<br><br>In light of ROA 79, the 8/3/26 OSC re status of unrepresented trustee is vacated. The court continues the status conference from 8/3/26 to 11/2/26 at 8:45am in Dept. C24.<br><br>City shall give notice. |
| 304 | *Axos Bank vs. Taylor Heavy Haul, LLC* | The court withholds a tentative ruling. Parties shall come prepared to present brief argument and answer questions. |
| 306 | *Sweet James, LLP vs. Upasani* | The motion of defendant Ninad Upasani for an order granting leave to file proposed a cross-complaint is GRANTED. Defendant is ordered to correct the caption on the proposed cross-complaint and then file the original with the Court within 10 |

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| | | days and serve a copy of the filed cross-complaint on plaintiff.<br><br>Both parties are to familiarize themselves with the relevant sections of the Code of Civil Procedure and Rules of Court regarding service of papers. Defendant failed to file any proofs of service with his moving and reply papers. Plaintiff improperly served the opposition by electronic means. Defendant is a self-represented litigant who is exempt from mandatory electronic filing and service requirements under Code Civ. Proc. § 1010.6(g)(4) and Cal Rules of Ct 2.253(b)(2). "In civil cases involving both represented and self-represented parties or other persons, represented parties or other persons may be required to file and serve documents electronically; however, in these cases, each self-represented party or other person is to file, serve, and be served with documents by non-electronic means unless the self-represented party or other person affirmatively agrees otherwise." (Cal Rules of Ct 2.253(b)(3).)<br><br>Here, plaintiff's complaint (ROA 2) contains causes of action that include breach of contract, misappropriation, and intentional interference with contractual relationships based on allegations that defendant, its former financial controller, breached a confidentiality and non-disclosure agreement by using its confidential and propriety information after his termination and hiring employees away from it. Defendant's proposed cross-complaint is, among other things, based on allegations that his termination of employment was pretextual. As such, it is reasonably related to the transactions or occurrences alleged in the complaint.<br><br>In the supplemental declaration filed with the reply (ROA 134), defendant declares that, at the time that he filed the answer, he was focused on defending against the complaint. He declares that |

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| | | he brought the instant motion for leave to file the cross-complaint after he "organized the relevant facts and legal basis for my claims."<br><br>The court continues the 8/3/26 CMC to 11/16/26 at 8:45am in Dept. C24.<br><br>Defendant shall give notice. |
| 307 | *Credit Line Capital Group, Inc. vs. Liu* | The motion of plaintiff Credit Line Capital Group, Inc., for an order correcting a clerical error in the judgment entered on April 9, 2026 nunc pro tunc is GRANTED IN PART.<br><br>The court checks the box under 5(a) indicating that defendants' names are continued on attachment 5a. The court also strikes attachment 6a and any reference thereto.<br><br>The clerk shall give notice. |
| 308 | *Christiansen vs. Arellano* | The motion for entry of stipulated judgment filed by defendant/cross-complainant Breanna Arellano (Arellano) against plaintiff/cross-defendant James Christiansen and cross-defendant Speak Easy Social Club, LLC (collectively, Cross-Defendants) is **DENIED**.<br><br>Cross-Defendants' evidentiary objections are **OVERRULED**. As to Arellano's evidentiary objections, the cited testimony and objections are not relevant to the disposition of the motion. The court thus declines to rule on the objections.<br><br>Arellano relies on Code of Civil Procedure sections 664.6 and 187, and *Rooney v. Vermont Investment Corp.* (1973) 10 Cal.3d 351, in support of her request for entry of judgment.<br><br>The summary procedure of Code of Civil Procedure section 664.6 (Section 664.6) to obtain judgment can |

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| | | be utilized only where a settlement is reached in "*pending litigation*." It cannot be utilized to enforce a settlement reached *before* suit was filed. (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (The Rutter Group June 2026 Update) ¶12:952.2, citing *Kirby v. Southern Calif. Edison Co.* (2000) 78 Cal.App.4th 840, 845 and *Housing Group v. United Nat'l Ins. Co.* (2001) 90 Cal.App.4th 1106, 1108.)<br><br>Here, Section 664.6 is inapplicable as the settlement agreement between the parties was reached prior to any lawsuit being filed. Although the court currently has jurisdiction over the parties and the claims pertaining to the settlement agreement by virtue of Arellano's cross-complaint, because the settlement agreement was reached prior to the instant action being filed, Arellano cannot rely on Section 664.6 to obtain judgment against Cross-Defendants.<br><br>Arellano also failed to show entry of judgment is proper under Code of Civil Procedure section 187 (Section 187), or the court's inherent equitable powers. Under Section 187, a court has inherent power to use "all the means necessary" to carry its jurisdiction into effect. Arellano argues summarily that the court's authority under Section 187 includes enforcement of agreements that expressly provide for entry of judgment, but she fails to cite any authority supporting this contention in the context of this case, particularly where the settlement agreement was executed prior to litigation. She also offers no authority showing the court is mandated to grant the relief requested. Here, Arellano has filed a cross-complaint which seeks the same relief sought by this motion. The issue of Cross-Defendants' default and breach of the settlement agreement seems more appropriately decided by way of motion for summary judgment or trial. |

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| | | Arellano also failed to show entry of judgment is proper under *Rooney v. Vermont Investment Corp.* (1973) 10 Cal.3d 351. *Rooney* involved a written stipulation for settlement reached <u>during a pending lawsuit</u>. (See *Rooney*, supra, 10 Cal.3d at 356 and fn 1.) Here, the settlement agreement was reached before suit was filed. The facts in *Rooney* are thus distinguishable from those in the instant matter. Arellano fails to show how, under these circumstances, judgment is properly entered pursuant to the holding in *Rooney*.<br><br>Because the motion is properly denied on the foregoing grounds, the court does not reach the parties' remaining arguments pertaining to the validity of the amendment and judgment amount sought, or prevention of performance.<br><br>Case management conference remains on calendar.<br><br>Counsel for Cross-Defendants shall give notice. |
| 309 | *Complete Water and Fire Restoration, LLC vs. Long* | The motion of defendant James Long moves for an order setting aside the default and any default judgment against him is DENIED.<br><br>Defendant James Long moves under Code Civ. Proc. §§ 473(b) and 473.5 for an order setting aside the default and any default judgment against him. Plaintiff Complete Water and Fire Restoration, LLC, dba Service Master Recovery by CWFR opposes the motion.<br><br>Plaintiff's evidence indicates that defendant was properly served with the summons and complaint on January 9, 2026. Defendant fails to carry his burden to demonstrate service was ineffective or did not occur.<br><br>Defendant also contends that the default should be set aside under Code Civ. Proc. § 473.5. |

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| | | Subdivision (a) of section 473.5 provides in part that "[w]hen service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against the party in the action, the party may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action." Subdivision (c) provides that the Court may grant the motion and "set aside the default or default judgment on whatever terms as may be just and allow the party to defend the action" if it finds that the motion was made within the time period specified in the section "and that the party's lack of actual notice in time to defend the action was not caused by the party's avoidance of service or inexcusable neglect."<br><br>Here, notwithstanding defendant's contention that he was not properly served with the summons, given the statements by Mr. Ostergar in his declaration that he discussed the case with defendant on January 9, 2026, which was the day of service, defendant's argument that he did not have actual notice of the action in time to defend the action rings hollow.<br><br>Case management conference remains on calendar.<br><br>The clerk shall give notice. |
| 313 | *Shea vs. Tesla, Inc.* | Defendant Tesla, Inc.'s (Defendant) unopposed motion to compel arbitration of the claims of plaintiff Michael A. Shea (Plaintiff) is **GRANTED**.<br><br>Defendant's request for judicial notice is **GRANTED**. (Evid. Code § 452(d).)<br><br>This matter is stayed pending completion of arbitration. |

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| | | A Status Conference re: Status of Arbitration is scheduled for 5/3/27 at 8:45am in Department C24. A brief status report shall be filed at least 5 court days before the next hearing.<br><br>On a motion to compel arbitration, the moving party bears the burden of proving the existence of an applicable agreement and the party opposing arbitration bears the burden of proving any defense. (See *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972 (California Arbitration Act); see also *Installit, Inc. v. Carpenters 46 Northern California Counties Conference Board* (N.D. Cal. 2016) 214 F.Supp.3d 855, 859 (Federal Arbitration Act).)<br><br>Defendant met its burden of establishing a valid arbitration agreement between the parties that covers the instant dispute. (See Kim Decl., ¶¶ 3-4, 8; Ex. 1, pg. 3.)<br><br>The burden thus shifted to Plaintiff to prove any defense to enforceability. Plaintiff did not file an opposition and thus failed to raise any argument showing the arbitration agreement should not be enforced.<br><br>Defendant shall give notice. |
| 314 | *Mittera Group, Inc. vs. Celebration Mailers, LLC* | Defendant Celebration Mailes, LLC's demurrer to the fourth amended complaint (4AC) is OVERRULED.<br><br>Defendant shall file and serve its answer, if any, within 10 days.<br><br><u>1st and 2nd causes of action (breach of contract)</u>: The complaint states facts sufficient to constitute these causes of action. (See *Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821 [elements]; see also 4AC ¶¶ 10-15, 20-27.) |

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| | | <u>3rd, 4th, 5th and 6th causes of action (common counts)</u>: These claims are pleaded as an alternative way of seeking the same relief demanded in the breach of contract claims, and survive for the same reasons. (See *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 394; see also 4AC ¶¶ 30-41.)<br><br><u>7th cause of action (unjust enrichment)</u>: Unjust enrichment can be asserted as a claim. (*Lectrodryer v. SeoulBank* (2000) 77 Cal. App. 4th 723, 726; compare *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793.) The complaint states facts sufficient to constitute this cause of action, which is pleaded as an equitable claim and alternative to the other causes of action. (*Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593 [elements]; see also 4AC ¶¶ 43-46.)<br><br>The CMC is continued to 11/16/26 at 8:45am in Dept. C24.<br><br>Plaintiff shall give notice. |
| 315 | *Savalia vs. Blue Shield of California Life & Health Insurance Company* | The demurrer of defendant California Physicians' Service dba Blue Shield of California (erroneously sued as Blue Shield of California Life & Health Insurance Company) (Defendant) directed to the first amended complaint (FAC) of plaintiff Nirav B. Savalia dba Savalia Plastic Surgery (Plaintiff) is **OVERRULED in part** and **SUSTAINED in part with 20 days leave to amend**.<br><br>**<u>The No Surprises Act (NSA)</u>**<br><br>Defendant contends all of Plaintiff's causes of action should be dismissed because the consensus among federal courts is that the NSA does not provide for a private right of action to enforce independent dispute resolution (IDR) payment determinations issued under the NSA, and Plaintiff |

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| | | cannot circumvent that lack of a private right via state law claims.<br><br>While Defendant is correct that the consensus among courts is the NSA does not provide for a private right of action, Plaintiff is not bringing a claim directly under the NSA. Plaintiff is bringing state law claims seeking reimbursement for the medical care he provided to Defendant's insureds. (See, e.g., FAC ¶¶ 36, 37, 47, 48, 56.) Plaintiff does not appear to be merely seeking enforcement of the IDR award.<br><br>Defendant cites to several federal district court and circuit-court decisions to support its argument that the absence of a private right of action under the NSA bars Plaintiff's state law claims. (See Demurrer at p. 11-13.) However, some of these decisions do not address the NSA at all. (See, e.g., *Sagebrush Health Servs. v. Amgen Inc.* (C.D. Cal. Apr. 15, 2026) 2026 WL 1030817; *Anthony v. Navient Corp.* (C.D. Cal. Apr. 25, 2025) 2025 WL 1674423; *Lil' Man in the Boat, Inc. v. City & Cty. of San Francisco* (N.D. Cal. Sep. 4, 2018) 2018 WL 4207260; *Bauer v. Elrich* (4th Cir. 2021) 8 F.4th 291.) Furthermore, decisions of the lower federal courts are not binding on state courts. (*Fair v. BNSF Railway Co.* (2015) 238 Cal.App.4th 269, 287; *Markow v. Rosner* (2016) 3 Cal.App.5th 1027, 1043 n.8.)<br><br>Defendant has thus offered no binding authority holding the NSA bars medical providers from bringing state law claims against the patient's insurer. It is noted that although *SpecialtyCare Inc. v. Meritain Health, Inc.* (D. Del. Feb. 9, 2026) 2026 WL 353259, cited by Defendant, did hold that the plaintiff's state law claims were barred by the NSA, another federal district court has suggested that the NSA does not bar medical providers from bringing state-law claims against the patient's |

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| | | insurer. (See *Kennedy v. UnitedHealth Grp. Inc.* (S.D.N.Y. June 20, 2025) 2025 WL 1725147 at *8.)<br><br>The demurrer on this ground is **OVERRULED**.<br><br>Defendant also argues each of Plaintiff's claims independently fails to state a cause of action, as discussed below.<br><br>**<u>First Cause of Action (Cal. Bus. & Prof. Code § 17200)</u>**<br><br>Defendant contends the doctrine of implied preemption "bars claims seeking to enforce an exclusively federal requirement that is not grounded in traditional state tort law." (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 10-11.) Here, Plaintiff's UCL claim is based on allegations that Defendant violated the NSA by failing to pay the IDR arbitration award. (See FAC ¶ 31; Opp. at p. 6:4-7.) Thus, Defendant appears correct that the UCL claim is based on an exclusively federal requirement under the NSA. Plaintiff failed to address Defendant's implied preemption argument and thus failed to rebut Defendant's contention that implied preemption bars the UCL claim.<br><br>The demurrer to the first cause of action on this ground is **SUSTAINED with 20 days leave to amend**.<br><br>**<u>Second, Third, Fourth and Fifth Causes of Action (Quantum Meruit, Unjust Enrichment, Common Count-Goods and Services Rendered, Common Counts-Money Had and Received)</u>**<br><br>In the Opposition, Plaintiff failed to address the demurrer as to these causes of action and thus impliedly conceded the demurrer's merit. (See |

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| | | *Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20.)<br><br>The demurrer to the second, third, fourth and fifth causes of action is thus **SUSTAINED with 20 days leave to amend**.<br><br>**<u>Sixth and Seventh Causes of Action (Breach of Implied-in-Fact Contract and Promissory Estoppel)</u>**<br><br>Defendant is correct the sixth and seventh causes of action fail to allege facts showing the essential element of consideration. “A promise is not enforceable unless consideration was given in exchange for the promise,” and “[a] promise to perform a preexisting legal duty is not supported by consideration.” (*US Ecology v. State of California* (2001) 92 Cal.App.4th 113, 128; see also, *San Luis Obispo Local Agency Formation Com. v. City of Pismo Beach* (2021) 61 Cal.App.5th 595, 600 [“A contract requires consideration.”].)<br><br>The demurrer to the sixth and seventh causes of action is **SUSTAINED with 20 days leave to amend**.<br><br>The CMC is continued to 11/6/26 at 8:45am.<br><br>Defendant shall give notice. |